

EQUITY RESEARCH REPORT

# JPMorgan Chase & Co.

NYSE: JPM · Financial Services

|                |            |                 |                   |
|----------------|------------|-----------------|-------------------|
| Recommendation | Confidence | Median Target   | Analysis Date     |
| <b>HOLD</b>    | <b>66%</b> | <b>\$399.44</b> | <b>2026-06-18</b> |

KEY METRICS

Performance Snapshot

Sharpe Ratio

0.71

Risk-adjusted return

Annual Volatility

+24.4%

Annualized

Beta

0.90

Mkt sensitivity

RSI

79

Momentum (14-day)

INVESTMENT THESIS

Executive Summary

JPMorgan Chase (JPM) presents a mixed picture with strong bullish signals from macro context and technicals, but significant contradictions in valuation metrics. The Market Context Agent highlights robust fundamentals—12.7% revenue growth, a 43.7% operating margin, and a PE of 15.8—alongside defensive positioning in the financial sector (VIX=17.08), while the Quant Agent's DCF model suggests a -56.2% downside to intrinsic value (\$144.91 vs. current price \$330.95). Technicals show a strong uptrend with a Golden Cross and RSI at 79, but the Analytics Agent flags high anomaly severity (12 anomalies) and decelerating momentum. The Market Context Agent's confidence (75%) contrasts with the Quant Agent's low confidence (4%), while the RAG Agent's mixed news sentiment (58% confidence) adds nuance. Despite bullish macro tailwinds, headwinds like a flat yield curve and overbought technicals (RSI=70.84) warrant caution.

FINANCIAL PERFORMANCE

Earnings & Growth

| Metric           | Current | Context          |
|------------------|---------|------------------|
| Sharpe Ratio     | 0.71    | Risk-Adjusted    |
| Volatility       | +24.4%  | Annualized       |
| Beta             | 0.90    | vs. S&P 500      |
| VaR (95%, daily) | -2.3%   | Daily            |
| P/E Ratio        | 15.84   | Price / Earnings |
| Forward P/E      | 14.06   |                  |
| ROE              | +16.5%  | Return on Equity |
| Operating Margin | +43.7%  | Profitability    |

Price Indicators

| Indicator        | Value    | Signal            |
|------------------|----------|-------------------|
| RSI (14)         | 79.0     | Overbought        |
| SMA 20           | \$310.76 | Short-term trend  |
| SMA 50           | \$308.98 | Medium-term trend |
| SMA 200          | \$305.22 | Long-term trend   |
| EMA 12           | \$319.33 | Short-term EMA    |
| EMA 26           | \$312.73 | Long-term EMA     |
| MACD             | 6.5976   | Bullish           |
| MACD Signal      | 3.6571   |                   |
| MACD Histogram   | 2.9405   | Expanding         |
| Bollinger Upper  | \$333.61 |                   |
| Bollinger Lower  | \$287.91 |                   |
| BB Position      | 0.94     | Near Upper        |
| Support Level    | \$319.40 |                   |
| Resistance Level | \$333.46 |                   |
| Momentum (20d)   | +9.2%    | Short-term        |
| Momentum (60d)   | +12.6%   | Medium-term       |
| Golden Cross     | Yes      | Bullish           |
| Above 50d MA     | Yes      |                   |
| Above 200d MA    | Yes      |                   |

Momentum Dashboard

TREND

Bullish

STRENGTH

Strong

MA CROSSOVER

None

MOMENTUM

Decelerating

Supporting Indicators

MACD: bullish (rising)

Momentum: bullish (20d ROC +9.2%)

VALUATION

Scenario Analysis

| Metric          | Value    |
|-----------------|----------|
| DCF Fair Value  | \$144.91 |
| Bull Case (p90) | \$551.57 |
| Base Case (p50) | \$399.44 |
| Bear Case (p10) | \$290.23 |
| 30d Forecast    | \$385.55 |

BULL CASE

\$551.57

BASE CASE

\$399.44

DCF FAIR VALUE

\$144.91

BEAR CASE

\$290.23

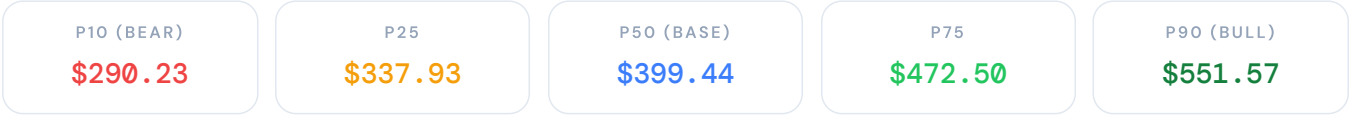
DCF MODEL

Discounted Cash Flow Breakdown

| Parameter        | Value                |
|------------------|----------------------|
| Intrinsic Value  | \$144.91             |
| Current Price    | \$330.95             |
| Upside           | -56.2%               |
| WACC             | +7.2%                |
| Growth Rate      | +14.5%               |
| Terminal Growth  | +2.5%                |
| Enterprise Value | \$388,298,741,044.27 |
| FCF Used         | \$12,974,000,000.00  |

MONTE CARLO SIMULATION

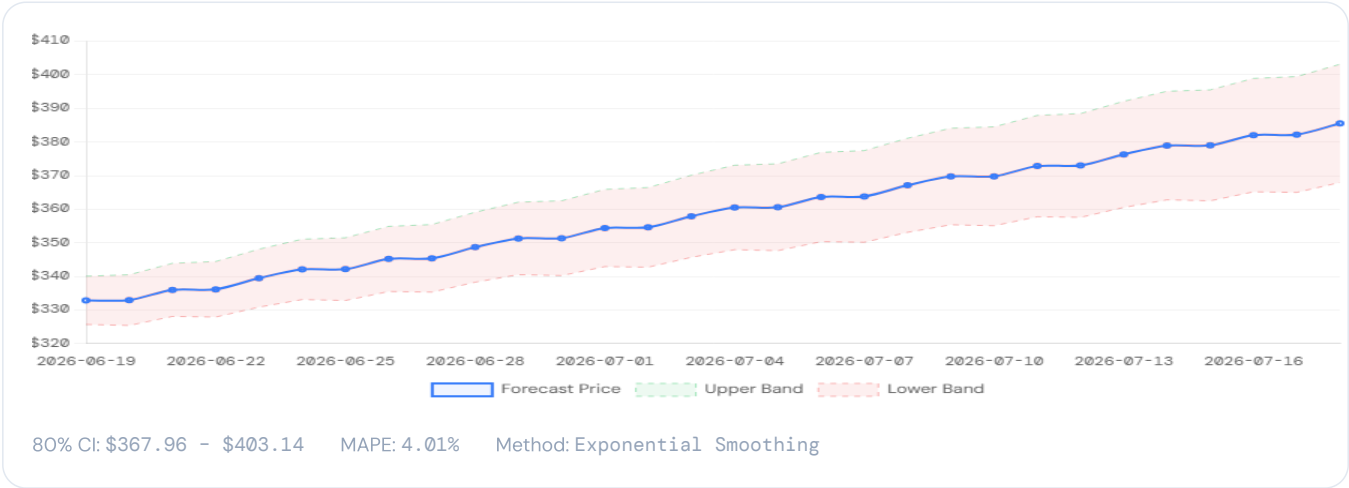
Price Distribution



Prob. of Profit: 77.4%    Expected Return: +24.7%    MC VaR (95%): -19.3%    Simulations: 5,000    Horizon: 252 days

PRICE FORECAST

Exponential Smoothing — 30d Horizon



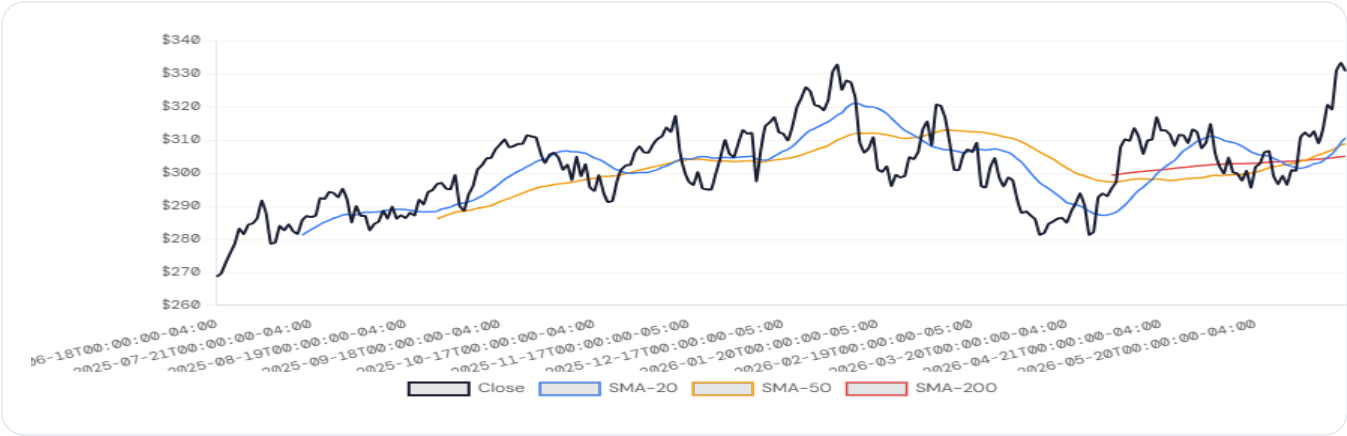
ANALYTICS

90-Day Price Action (OHLC)



ANALYTICS

Price & Moving Averages



ASSESSMENT

Investment Scorecard

|                                                |                                                 |                                           |
|------------------------------------------------|-------------------------------------------------|-------------------------------------------|
| <div>Momentum</div> <div>Overbought</div>      | <div>Technical Outlook</div> <div>Bullish</div> | <div>Quant Signal</div> <div>HOLD</div>   |
| <div>Market Sentiment</div> <div>Bullish</div> | <div>Analytics Trend</div> <div>Bullish</div>   | <div>Recommendation</div> <div>HOLD</div> |

COMPETITIVE LANDSCAPE

Peer Comparison

| Metric           | JPM   | BAC   | RY    |
|------------------|-------|-------|-------|
| P/E Ratio        | 15.8  | 14.0  | 18.3  |
| EV/EBITDA        | N/A   | N/A   | N/A   |
| Revenue Growth   | 12.7% | 8.1%  | 16.1% |
| Operating Margin | 43.7% | 36.0% | 45.3% |
| ROE              | 16.5% | 10.6% | 16.2% |

BEHAVIORAL SIGNALS

Insider, Options & Analyst Activity

| Source  | Metric         | Value    |
|---------|----------------|----------|
| INSIDER | Activity Level | High     |
| INSIDER | Direction      | Neutral  |
| INSIDER | Buy Signals    | 0        |
| INSIDER | Sell Signals   | 0        |
| INSIDER | Net Shares     | 0        |
| INSIDER | Net Value      | \$0.00   |
| OPTIONS | Flow Signal    | No Data  |
| ANALYST | Consensus      | Buy      |
| ANALYST | # Analysts     | 21       |
| ANALYST | Target Price   | \$342.00 |
| ANALYST | Target Upside  | +3.3%    |
| ANALYST | Short Ratio    | 3.4      |
| ANALYST | Short % Float  | +1.1%    |

MARKET ENVIRONMENT

Macro Regime

flat yield curve, moderate volatility, strong USD

## Detected Anomalies

**PRICE** 2025-11-13 Price fell -3.5% (2.6 $\sigma$  deviation)

**PRICE** 2025-12-09 Price fell -4.8% (3.5 $\sigma$  deviation)

**PRICE** 2026-01-13 Price fell -4.3% (3.2 $\sigma$  deviation)

**PRICE** 2026-02-06 Price surged +3.9% (2.7 $\sigma$  deviation)

**PRICE** 2026-02-23 Price fell -4.3% (3.2 $\sigma$  deviation)

**PRICE** 2026-03-31 Price surged +3.6% (2.5 $\sigma$  deviation)

**PRICE** 2026-06-16 Price surged +3.6% (2.5 $\sigma$  deviation)

**VOLUME** 2025-09-19 Volume 4.4x std above average

**VOLUME** 2025-12-19 Volume 4.7x std above average

**VOLUME** 2026-01-13 Volume 3.1x std above average

**VOLUME** 2026-01-14 Volume 5.1x std above average

**VOLUME** 2026-03-20 Volume 4.0x std above average

**CATALYST** JPMorgan: These 3 Stocks Could Spike at Least 70% From Current: ... Stock market ... Stocks ... Market Catalysts

**CATALYST** Stock market today: Dow slides after CPI inflation accelerates.; Tech led US stocks on Tuesday as a key consumer inflation print showed inflation accelerated in June, big banks kicked off earnings season, and ...

**CATALYST** Stock market news live: Stocks, yields drop on new coronavirus: Headlines moving the stock market in real time. ... Stock market ... Stocks ... Market Catalysts



## Return Distribution & Correlations

| Metric               | Value       | Interpretation          |
|----------------------|-------------|-------------------------|
| Skewness             | -0.421      | Near symmetric          |
| Kurtosis             | 1.007       | Light tails             |
| Jarque-Bera p-value  | 0.0001      | Non-normal distribution |
| Distribution         | platykurtic |                         |
| Regression Beta (1Y) | 0.882       | Market sensitivity      |
| R-Squared            | 0.248       | Weak fit                |
| Corr: SPY            | 0.498       | Moderate                |

Reviewer Analysis



## Assessment

### Growth Opportunities

- Strong revenue growth (12.7%) and operating margin (43.7%)
- Defensive positioning in financials sector amid market rotation
- Higher ROE (16.5%) compared to peers, indicating strong profitability

### Key Risks

- Flat yield curve regime limiting net interest income growth
- Overbought technicals (RSI=70.84) suggesting potential near-term pullback
- Valuation slightly elevated compared to some peers like BAC and WFC
- Data quality is high (97% score), but conflicting signals between DCF valuation and macro context require further scrutiny.
- Analytics Agent's anomaly severity (12 anomalies) may indicate underlying risks not captured by other agents.

## CITED SOURCES

### Cited Sources

- JPM\_10-K\_2026-02-13.html
- JPM\_news\_Thu, 18 Jun 2026 01:16:22 +0000.txt
- JPM\_news\_Thu, 18 Jun 2026 08:20:13 +0000.txt
- JPM\_news\_Thu, 18 Jun 2026 04:00:15 +0000.txt
- JPM\_10-Q\_2025-11-04.html

## MARKET NARRATIVE

### Market Narrative

JPMorgan Chase (JPM) is operating in a macro regime characterized by a flat yield curve, moderate volatility (VIX=17.08), and a strong U.S. dollar (DXY). The financial sector has shown resilience, outperforming broader market trends with a 4.35% month-to-date return, reflecting its defensive positioning amid sector rotation. JPM's fundamentals are robust, with a PE of 15.8, revenue growth of 12.7%, and an impressive operating margin of 43.7%. These metrics place it favorably against peers, particularly in terms of growth and profitability. However, the flat yield curve regime could limit net interest income expansion, a key tailwind for banks. JPM's relative peer positioning is strong, with higher margins and growth compared to most peers, though its valuation is slightly elevated compared to some competitors like BAC (PE=14.0) or WFC (PE=12.9). The company's technicals suggest overbought conditions (RSI=70.84), which may warrant caution in the near term.

## Evidence Strength

Strong evidence supports the recommendation.

## CONCLUSION

# HOLD

66% Confidence

JPMorgan Chase (JPM) presents a mixed picture with strong bullish signals from macro context and technicals, but significant contradictions in valuation metrics. The Market Context Agent highlights robust fundamentals—12.7% revenue growth, a 43.7% operating margin, and a PE of 15.8—alongside defensive positioning in the financial sector (VIX=17.08), while the Quant Agent's DCF model suggests a -56.2% downside to intrinsic value (\$144.91 vs. current price \$330.95). Technicals show a strong uptrend with a Golden Cross and RSI at 79, but the Analytics Agent flags high anomaly severity (12 anomalies) and decelerating momentum. The Market Context Agent's confidence (75%) contrasts with the Quant Agent's low confidence (4%), while the RAG Agent's mixed news sentiment (58% confidence) adds nuance. Despite bullish macro tailwinds, headwinds like a flat yield curve and overbought technicals (RSI=70.84) warrant caution.